

ORIGINAL

BEFORE THE
FEDERAL MARITIME COMMISSION

FILED

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PETITION NO. P3 -17

Federal Maritime Commission
Office of the Secretary

PETITION OF GREAT WHITE FLEET LINER SERVICES LTD.
AND GREAT WHITE FLEET CORP. FOR
AN EXEMPTION FROM 46 C.F.R. § 530.10

DECEMBER 2, 2017

PETITION

Pursuant to 46 U.S.C. § 40103 of the Shipping Act of 1984 and Rules 92 and 94 of the Commission's Rules of Practice and Procedure, 46 C.F.R. §§ 502.92 & 502.94, the Petitioners Great White Fleet Liner Services Ltd. ("GWFLS") and Great White Fleet Corp. ("GWFC") hereby petition the Commission for relief, as indicated below, from the provisions of 46 C.F.R. § 530.10 requiring each service contract amendment to be signed by both parties and filed with the Commission.

GWFLS is a vessel-operating common carrier ("VOCC") operating services primarily between the United States and countries in Central and South America. Both GWFLS and GWFC are members of a group of companies wholly owned directly or indirectly by Chiquita Holdings Ltd. ("Chiquita"), whose business is described at its website <http://www.chiquita.com>.

As part of an internal corporate restructuring of the Chiquita group's shipping operations, GWFLS has agreed to transfer to GWFC assets associated with its services, including its service contracts with shippers filed with the Commission under the Shipping Act. In furtherance of this restructuring, GWFC has applied to the Commission for and been granted registration as a carrier under a new organization number separate

from that of GWFLS. GWFC has also entered into an agreement to acquire time charters on a fleet of vessels that are currently used by GWFLS for its services. The first of these vessels is now under time charter to GWFC, which has space chartered a portion of the vessel's capacity to GWFLS for its use pending completion of the restructuring. GWFC has also published, with scheduled effectiveness of December 29, 2017, two VOCC tariffs, one a tariff of general applicability and the other a tariff of service contract essential terms.

Upon completion of the restructuring, GWFC will commence serving GWFLS's shipper customers, utilizing most of the same vessels, facilities and personnel currently utilized by GWFLS. Chiquita hopes to be able to complete the restructuring by the end of 2017 or as soon thereafter as possible, subject to satisfying all applicable regulatory requirements.

One of the impediments to the smooth transition from GWFLS to GWFC is the requirement under Section 530.10 of the Commission's regulations that all amendments to service contracts be manually amended by both parties, including amendments changing the carrier party to a successor carrier, even to an affiliate. In this case, GWFLS has approximately 300 service contracts that would require manual amendments. Not only would this place a severe administrative burden upon the carriers and shippers alike, but the delays built into doing so could prevent the amendments from becoming effective on the same day. The resulting multiple effective dates for transitioning from GWFLS to GWFC, depending upon which contract is involved, would be confusing for shipper and carrier personnel and unduly complicate the issuance of bills of lading and the management of terminal, stevedoring and other services.

Fortunately, under 46 U.S.C. § 40103 and 46 C.F.R. § 502.92, the Commission has authority to grant an exemption from the manual amendment requirement of Section 530.10 if the exemption "will not result in substantial reduction in competition or be detrimental to commerce." In this case, the potential for negative competitive or commercial effects is minimal since GWFC has pledged to carry out GWFLS's service contracts after they have been assigned to GWFC and the assets essential to operation of its services will have been transferred to GWFC by that time. In addition, as a condition to granting this Petition, the Petitioners agree to the following requirements:

(a) A notification to the following effect shall be sent by GWFLS to the shipper party under each of the service contracts, and the Petitioners shall carry out the terms of the notice:

We hereby notify you that the Great White Fleet corporate group is in the process of being restructured. Upon completion of the restructuring, the service currently provided to you by Great White Fleet Liner Services Ltd. ("GWFLS") will be assigned to one of our sister companies, Great White Fleet Corp. ("GWFC"), which will then take over providing service to you utilizing the same vessels and other equipment operated by the same personnel who currently serve your company.

If your service contract with GWFLS provides that it may be assigned, please consider this communication to be notice of such assignment to GWFC. If your service contract does not include an assignment clause, please advise us within seven days after the date of this notice if you require a formal amendment to the service contract. If so, we will prepare the amendment and send it to you for your signature and prompt return to us. If you advise us that you do not require an amendment or we have not heard from you within the seven days, we will assume you have agreed to the assignment of the contract. In either event, the assignment of the contract will become effective on the date that GWFLS and GWFC file a universal notice in the SERVCON system confirming that GWFC shall be deemed substituted for GWFLS as the carrier party under the contract.

If you have any question about this notification, please let us know.

(b) Promptly after the expiration of the seven day period referred to in the notification above, each Petitioner will file with the Commission a universal notice in the SERVCON system under the Petitioner's organization number identifying all affected service contracts and confirming that GWFC shall be deemed substituted for GWFLS as the carrier party under each of the contracts.

Thus the Commission has ample authority to grant the exemption requested in this Petition, and it has done so in several proceedings, beginning with *Petition of Hanjin Shipping Co., Ltd.*, No. P1-2009, 31 S.R.R. 1080 (FMC 2009). The circumstances presented in this case are at least as persuasive, involving the same kinds of administrative burdens as were persuasive in the prior proceedings, as well as the potential confusion for shipper and carrier personnel and operational complications referred to above.

Accordingly, the Petitioners respectfully request that this Petition be granted on the terms referred to above.

Respectfully submitted,



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